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CLAUSE EXAMPLES: GOOD VS BAD

Indian Contract Law Reference | For RAG Knowledge Base

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1. NON-COMPETE CLAUSES

BAD NON-COMPETE:

"Employee shall not work in any competing
business anywhere in India for 5 years
after leaving the company."

WHY IT'S BAD:

- Overly broad geographic scope (entire India)
- Excessive duration (5 years)
- Vague definition of "competing business"
- Likely unenforceable under Section 27 of Indian Contract Act, 1872
- No role or industry specificity

GOOD NON-COMPETE:

"Employee shall not work for direct
competitors in [City] for 12 months
following termination, limited to the
role of [specific role]."

WHY IT'S GOOD:

- Geographically limited and reasonable
- Time-bound (12 months)
- Role-specific restriction

- Better chance of enforceability

- Protects legitimate business interest without undue hardship

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2. TERMINATION CLAUSES

BAD TERMINATION:

"Company may terminate this agreement

at any time without notice or reason."

WHY IT'S BAD:

- Unilateral power with no accountability

- No notice period — exposes company to wrongful termination claims

- No provision for dues settlement

- Creates imbalance; may be challenged as unconscionable

- Non-compliant with Indian labour law norms

GOOD TERMINATION:

"Either party may terminate with 30 days

written notice. Company shall pay all

dues within 7 days of termination."

WHY IT'S GOOD:

- Mutual termination rights (balanced)

- Clear notice period (30 days)

- Explicit dues settlement timeline (7 days)

- Written notice requirement creates audit trail

- Aligned with standard Indian employment practices

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3. INDEMNITY CLAUSES

BAD INDEMNITY:

"Vendor shall indemnify Company for all
losses, damages, costs of any nature
without any limit."

WHY IT'S BAD:

- No cap on liability — disproportionate risk on vendor
- Unlimited scope ("of any nature") is commercially unreasonable
- May render the contract unenforceable or one-sided
- Does not distinguish between direct and indirect losses
- Discourages vendors from contracting

GOOD INDEMNITY:

"Vendor's total liability shall not exceed
the total fees paid in the preceding
3 months under this agreement."

WHY IT'S GOOD:

- Clear liability cap tied to contract value
- Proportionate and commercially fair
- Easier to negotiate and enforce
- Common standard in Indian B2B contracts
- Protects both parties from catastrophic exposure

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4. CONFIDENTIALITY / NDA CLAUSES

BAD CONFIDENTIALITY:

"Employee shall keep all company information
confidential forever and shall never disclose
anything to anyone under any circumstances."

WHY IT'S BAD:

- Perpetual duration is unreasonable and often unenforceable
- "Anything to anyone" is dangerously overbroad
- No carve-out for publicly available information
- No carve-out for legally compelled disclosure
- Chilling effect on normal professional communication

GOOD CONFIDENTIALITY:

"Employee shall maintain confidentiality of
proprietary business information for a period
of 3 years post-employment. This obligation
does not apply to information that is publicly
available or required to be disclosed by law
or court order."

WHY IT'S GOOD:

- Defined duration (3 years)
- Clear carve-outs for public info and legal compulsion
- Targets genuinely proprietary information
- Enforceable under Indian Contract Act
- Balances business protection with employee rights

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5. INTELLECTUAL PROPERTY ASSIGNMENT CLAUSES

BAD IP ASSIGNMENT:

"All ideas, inventions, and creations by the employee, whether during or outside working hours, belong entirely to the Company."

WHY IT'S BAD:

- Claims IP created outside scope of employment
- No restriction to company-related work
- Overreach — personal projects and pre-existing IP affected
- May be challenged as unconscionable
- Creates disputes over personal inventions

GOOD IP ASSIGNMENT:

"All work product, inventions, or developments created by the Employee in the course of their employment and using Company resources shall vest in the Company. Pre-existing IP of the Employee, listed in Schedule A, is excluded."

WHY IT'S GOOD:

- Scope limited to work done during employment using company resources
- Pre-existing IP explicitly excluded
- Schedule A attachment creates clear documentation
- Proportionate and legally sound
- Protects company without overreaching

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6. PAYMENT / INVOICE CLAUSES

BAD PAYMENT CLAUSE:

"Company shall pay the vendor when convenient
and reserves the right to withhold payment
if unsatisfied with deliverables."

WHY IT'S BAD:

- No defined payment timeline
- Subjective satisfaction standard — open to abuse
- Vendor has no legal certainty or recourse
- Creates cash flow risk for vendor
- Likely to cause disputes

GOOD PAYMENT CLAUSE:

"Company shall make payment within 30 days
of receiving a valid invoice. In case of
disputed amounts, the undisputed portion
shall be paid within 30 days and the
disputed amount resolved within 15 days
of raising a formal objection in writing."

WHY IT'S GOOD:

- Clear 30-day payment window
- Disputed vs undisputed amounts separated
- Written dispute process defined
- Aligned with MSME payment norms in India
- Reduces payment conflict risk

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7. DISPUTE RESOLUTION CLAUSES

BAD DISPUTE RESOLUTION:

"Any disputes will be settled in courts."

WHY IT'S BAD:

- Does not specify jurisdiction
- Does not specify governing law
- No mention of arbitration or mediation as first recourse
- Expensive and time-consuming for both parties
- Leaves parties with maximum uncertainty

GOOD DISPUTE RESOLUTION:

"Any dispute arising out of or in connection
with this Agreement shall first be attempted
to be resolved through mediation within 30 days.
If unresolved, disputes shall be referred to
arbitration under the Arbitration and Conciliation
Act, 1996, with a sole arbitrator mutually
appointed. The seat of arbitration shall be
[City], and the governing law shall be the
laws of India."

WHY IT'S GOOD:

- Mediation-first approach saves time and cost
- Arbitration as fallback — faster than civil courts
- Specific reference to Indian Arbitration Act, 1996
- Defined seat and governing law
- Mutually appointed arbitrator ensures neutrality

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8. FORCE MAJEURE CLAUSES

BAD FORCE MAJEURE:

"Neither party shall be liable for failure
to perform due to circumstances beyond
their control."

WHY IT'S BAD:

- "Circumstances beyond control" is vague
- No defined list of qualifying events
- No notification obligation
- No time limit on force majeure invocation
- Can be misused to avoid ordinary obligations

GOOD FORCE MAJEURE:

"Neither party shall be held liable for delay
or failure in performance caused by events
beyond reasonable control including but not
limited to natural disasters, war, pandemic,
government-imposed lockdowns, or grid failures,
provided the affected party notifies the other
in writing within 7 days of the event. If
the force majeure event persists beyond 60 days,
either party may terminate with written notice."

WHY IT'S GOOD:

- Specific qualifying events listed
- Mandatory 7-day notification obligation
- 60-day sunset clause prevents indefinite delay
- Right to terminate if prolonged
- Balanced protection for both parties

END OF CLAUSE EXAMPLES

Jurisdiction: India | Act Reference: Indian Contract Act, 1872

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